

discussion, let's assume that the cash flow from a pension and Social Security covers \$30,000 of those expenses, which is \$2,500 per month. That is less than half the monthly cash liability that a person needs who is spending \$72,000 per year.

With a pension and Social Security covering a portion of a retiree's monthly cash liabilities, the rest must come from personal savings, investments, and self-directed retirement accounts. In this case it is \$42,000 per year, or \$3,500 per month. If pension income and Social Security benefits change, so would the amount needed from investments. In addition, any discretionary spending such as travel and gifting will also come from savings and investments.

Now that we have reduced monthly liabilities based on the cash flow from pensions and Social Security as we know them today, we can create a rational asset allocation to match the remaining monthly cash liabilities. The liability reduction method appears to be the best way to handle income from pensions and Social Security. The method takes into consideration cash flows from these illiquid and uncontrollable assets, without trying to calculate a present value of these assets, call them bonds, and uncomfortably try to cram them into an asset allocation decision.

Cash Flows in Retirement

Expenses will vary during retirement, but over time they will not be as high as they are when you were working. Early on, you will be traveling more, eating out more, fixing up the house, spending more time shopping, possibly joining a gym, and taking care of small medical concerns that you didn't have time for when you were working full time. As time passes and you grow accustomed to being retired, you'll spend less on clothes, less on travel, less on food, and less on housing, and you'll stop spending so much for automobiles. If you have two automobiles, you may decide to cut back to one.

Your home may become a source of cash if needed. The house you own may become too big, so you will downsize. That will release equity from your house, which can be used to generate more income. If you keep your house, you can always tap into the equity in your home by using a mortgage, a home equity loan, or a reverse mortgage that pays monthly income.